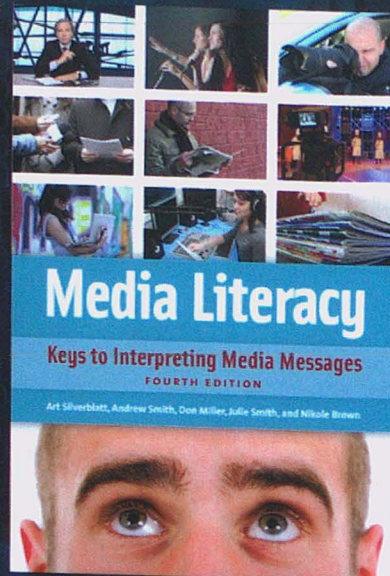


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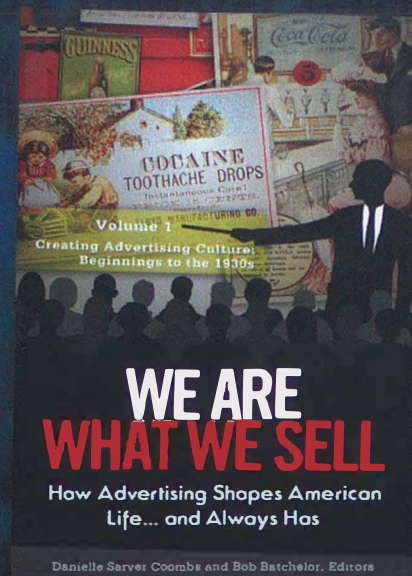


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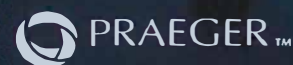
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THE NEW ADVERTISING
BRANDING, CONTENT, AND CONSUMER RELATIONSHIPS
IN THE DATA-DRIVEN SOCIAL MEDIA ERA

VOLUME TWO

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**THE NEW
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BRANDING, CONTENT, AND
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IN THE DATA-DRIVEN
SOCIAL MEDIA ERA

VOLUME TWO
NEW MEDIA, NEW USES,
NEW METRICS

RUTH E. BROWN, VALERIE K. JONES, AND MING WANG, EDITORS

Volume 2

**New Media, New Uses,
New Metrics**

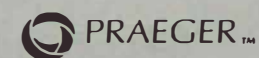
The New Advertising

**Branding, Content, and
Consumer Relationships in the
Data-Driven Social Media Era**

**Ruth E. Brown, Valerie K. Jones,
and Ming Wang, Editors**

Foreword by Don E. Schultz

Epilogue by Valerie K. Jones and Rishad Tobaccowala



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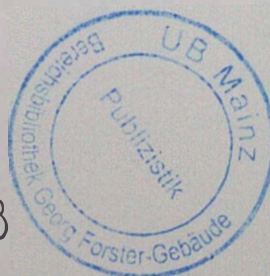
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Chapter 4

Mobile: Everyone's Answer Box

Courtney Jane Acuff

“This is the Year of Mobile.” No, wait; maybe *this* is the Year of Mobile. Was 2014 “finally the Year of Mobile?”¹ Or was 2013, or was it actually last year? For those who have been part of the mobile media and advertising ecosystem, be it as an agency partner, advertiser, technology vendor, or publisher, these proclamations and headlines make many in the industry grimace. We hate to break it to you, but there wasn’t and won’t be a single “Year of Mobile.” Rather, each and every year since the early 2000s paved the way for the current mobile marketplace of publishers, technology providers, agencies and development shops, advertisers, and brand marketers. And each and every year from this point forward will continue to solidify the marketplace, the motivations, and behaviors of consumers toward the use of mobile devices, and the strategies and consumer experiences that brand advertisers and marketers create to engage with consumers.

From 2004 to about 2007, the mobile marketplace was mainly hype in terms of scale and advertising inventory availability. Until the mid-2000s, two forms of basic nonvoice functionality constituted the whole of the mobile marketing ecosystem. Remember, early mobile phones were used primarily for voice communication. Yes, they were mainly used to call people when you were away from your house or office, and often only if it was an emergency. Data packages were expensive and extremely limited in functionality. Short message service (or texting) and wireless application protocol or WAP (the early format for accessing mobile web content) were the only means of nonvoice mobile phone functionality and data access. The marketplace was carrier-dominated; AT&T, Verizon, and Sprint controlled the wireless airwaves. What little content was available came pre-loaded, could only be accessed on a carrier’s “deck,” and was solely dictated by that carrier. Third-party mobile developers didn’t exist yet. Mobile

phones were not “smart” (they were often referred to as “feature” phones) and mobile applications, aka apps, hadn’t been invented—the Apple iPhone wasn’t released until 2007 and consumers had to wait another year for the launch of the App Store!² Ringtones were the main option available to mobile users to personalize their devices. Simplistic mobile games offered a degree of entertainment. Snake, first developed in 1997 by a Nokia design engineer, began to come pre-loaded on Nokia devices in 1998. It was re-released in the iTunes App Store years later and is now considered a retro classic.³ Mobile ad banners, following in the footsteps of their online desktop big brother, were first made available in 2004.⁴

A decade later, you have an entirely different mobile marketplace and ecosystem for brand advertisers, content and technology vendors, and consumers. In 1995, the global penetration of feature phones totaled 1% of the population. In 2014, almost 20 years later, 73% of the world’s population used a feature phone or smart phone.⁵ In 2012, more than a billion people worldwide used a mobile phone.⁶ In February 2014, for the first time ever, mobile phone and tablet users accessed the Internet from apps more than from PCs.⁷ And 85% of people said “mobile devices are a central part of everyday life,” according to the 2014 Mobile Behavior report from Salesforce/Marketingcloud.⁸ Changing consumer behavior led the way for the dramatic rise in mobile as a viable revenue model for everyone from wireless providers to device manufacturers to third-party app developers. For many advertising networks and publishers, mobile has become the fastest-growing source of advertising revenue for their bottom line.

While basic mobile media ad banners circa 2004 can still be found as a staple of publisher inventory and in-app advertising specs, the real value of mobile marketing is in a mobile device’s ability to be everyone’s “answer box.” *There exists no similar device that enables instant access to information, to people, to entertainment, to other devices, and to places.* The challenge for marketers, however, lies in creating engaging mobile media campaigns, brand-owned content, and experiences that meet the expectations of today’s consumers and that provide real value for them as consumers. Mobile is the only communication device that is almost always within arm’s reach of its owner. It is very rarely shared among individuals in a household. And it has the ability to connect users to a brand or product in key decision moments: moments defined by Think with Google as “I-want-to-know moments,” “I-want-to-go moments,” “I-want-to-do moments,” and “I-want-to-buy moments.”⁹

Over the course of this chapter, we’ll take a look at current behaviors and motivations of consumers to understand the way in which mobile marketing changed from a tactic on a media plan to a strategic communication vehicle

for marketers seeking more personalized messaging opportunities with consumers. We'll highlight the hockey stick growth in mobile ad revenue over the last decade, illustrate the evolution in mobile device capability and screen size, and discuss the ubiquitous yet personal connection individuals have and expect to have with their mobile phones. Put another way, we'll explore the current strategies, technological advancements, and engagement opportunities used today as a means of solidifying why many brands now have, and most brands tomorrow will have, a mobile-first mentality to building consumer engagement and messaging strategies. While no crystal ball exists, the seeds have already been planted for the ways in which consumers will want to use their mobile devices in the future—a future that comprises greater device-to-device connections, personalization, and true mobile engagements that are integrated seamlessly into consumers' everyday lives and a future that includes a generation that never knew a world before the Internet, tablets, and mobile phones.

Mobile Consumer Engagement

Mobile in the United States today is a paradox of time spent versus advertising spends by media. Global shipments of mobile smartphones and tablets are 4–5 times those of TVs and PCs, according to Mary Meeker's Internet Trends 2014 Code Conference presentation.¹⁰ Meeker's 2015 Internet Trends presentation states that 24% of media consumption is taking place with mobile devices but just 8% of ad spend is in mobile.¹¹ In contrast, print time spent equates to just 4%, but ad spend is over-indexed at 18%.¹²

Mobile technology adoption is a hockey stick curve when viewed on a chart,¹³ and mobile advertising and marketing are unlike any consumer communication vehicle that has come before—not only because of the significantly less time mobile has taken to become a viable marketing channel for brand advertisers, but also because to be used effectively, it must put the value proposition for the consumer above all else. While mobile at one time might have been considered a natural extension of digital advertising, it's proven to be a creator of entirely new ecosystems and sub-ecosystems—ecosystems that will continue to morph as technological capabilities evolve, creating possibilities tomorrow that don't exist today. It is not a shared device like TVs or desktop computers are in most homes today. You've heard it before, but it's worth repeating: mobile technologies and the devices that have come to the consumer market as a result offer brand advertisers and marketers the most intimate connection point with consumers, one that has never been possible before. Mobile devices have

become a personal answer box in which a user expects personalized, relevant, and timely access to information and content.

Today, a typical mobile user spends roughly three hours per day on his or her device. More time is spent with a mobile device than in front of a television, but most of those mobile engagements are short bursts of activity on a smartphone, tablet, or what has now been coined a “phablet.”¹⁴ While this chapter will focus mainly on smartphone advertising uses, it’s important to understand the complexities of the device marketplace. Apple has relatively few device types in comparison to Android, which as of August 2015, had more than 24,000 distinct devices in use, according to Open Signal.¹⁵ But let’s circle back to “phablet” for a minute. The term broke into the mainstream lexicon with the market introduction of the Samsung Galaxy Note in 2011 and became an everyday noun (as many things Apple have a way of doing) when in 2014 Apple introduced the iPhone 6+. That was the first iOS “phablet” although, when introducing it, Apple refrained from using that term and, instead, went with the tagline, “Bigger than bigger than bigger.” Its screen size measured 5.5 inches, while the first Galaxy Note’s screen size measured 5.3 inches.¹⁶

As screen sizes of smartphones changed (see Figure 4.1), so too did the generational reliance and promise the device holds for certain individuals.

Figure 4.1 Mobile Phones Used by Author Over the Last Decade



Source: Courtney Jane Acuff. Reprinted with permission.

Meeker's recent trend report highlighted the impact mobile has had on Millennials. For 87% of them, their phone never leaves their side (day or night); 80% state that the first thing they do in the morning is reach for their phone, and most significantly, 60% believe that in the next five years, "everything will be done on mobile devices."¹⁷

The number of hours spent with mobile devices by Millennials and all consumers is only going to continue to increase as is seamless cross-screen usage (the ability to move from one connected device to another with the expectation that no interruptions in experience occur). The expectation of mobile consumers today is that they will have access to the information and content they want, to the people with whom they are formally and informally connected, to other devices (their own and those of others), and to places both digital and physical. Depending on the task at hand, the time of day, and the social setting, a mobile user may want to be entertained, to find an answer to a question or an address to a place, and other options. Forrester research put a slightly different spin on these mobile moments than Google, and defined this mindset as the "mobile mind shift," describing it this way: "The mobile mind shift is the expectation that I can get what I want in my immediate context and moments of need."¹⁸

It's these expectations that created the need for more mobile content of better quality, offering richer user experiences and engagements. A snapshot view of mobile content categories correlated with time of day effectively explains just how indispensable mobile devices have become for all consumers today. Finance and weather dominate the early morning, along with shopping. Video, news, and blogs fill the noon hour. Fitness, social, and dating content categories occupy the evening.¹⁹ Now that you understand how attached mobile users are to their devices and what high expectations they place on the experiences they have with them, we can unpack the current strategies and uses of mobile advertising by brand marketers.

The mobile marketplace is crowded, and brand advertisers are just one of many groups who make up the market. They fit into a larger ecosystem of publishers, technology providers, and content creators. There are also mobile measurement providers and mobile ad-serving companies, along with location-based technology companies, mobile wallet enablers, and third-party application developers. Some of the vendors in the ecosystem have roots in digital or are still active in that marketplace, so they are familiar to brand advertisers. Others are new entrants that frankly come and go; often these companies are major disruptors to the marketplace and are scooped up by larger, more established digital and mobile players. It's a

complex and ever-changing marketplace that has one foot in digital and all the rest of its body in an entirely new domain.

In fact, many brand advertisers and marketers still treat mobile as a carryover of digital strategies and creative executions—a tactic, plain and simple. A tactic is not a strategy, and it creates no real engagement with consumers. Yes, mobile screen size has increased, but by no means has the desire of users to access the World Wide Web increased, as they have the option to do so from a PC or even a tablet. There is still a common belief that re-creating a desktop website to render across mobile devices is simply all that needs to be done, and then advertisers are good to check the box on mobile. This isn't the case.

Remember that what makes mobile different are the new marketplaces and sub-ecosystems that have developed as a result of growth in consumer adoption and mobile usage. This chapter could cover in depth the basics of mobile advertising, which include mobile keyword search buys, standard mobile banner display ad units, and corresponding mobile landing pages or mobile video, but that misses the point of the intention to highlight future directions of new advertising. The importance and significance of mobile isn't in what it can do the same as digital but rather in what it does differently. Those basic executions are solid examples of current-day uses and available ad inventory for mobile devices, but they have limited impact when used in isolation. They should be considered the basic blocks of any holistic mobile strategy, but in and of themselves, they don't constitute a strategic media plan or engagement experience that creates value for consumers. The two most important aspects of successful mobile brand interaction today are relevance and fit, in terms of integration between brand advertisers and existing content or mobile experiences already available to consumers—satisfying the mobile moments that drive mobile usage.

There's an App for That

One such ecosystem that was born entirely out of the evolution of mobile devices and technology is the app marketplace for both Android and Apple. Simply put, before 2008, a means for the digital distribution of content of third-party developed applications did not exist in the United States. Yes, there were early manifestations of content distribution for mobile phones, but the modern definition of a “store” was born out of the introduction of the first Apple iPhone. In June 2015, Apple commented on the state of its App Store during the annual Worldwide Developer conference: “It's hard to believe that the App Store was launched only seven years ago,” Apple CEO

Tim Cook said on stage, with audible glee.²⁰ “I’m happy to announce that the App Store recently passed a major milestone: The App Store has passed 100 billion apps downloaded.”²¹

That number may seem improbable at first glance, but consider that “consumers in the United States devote 80% of the total time they spend on their Android or iOS mobile devices to mobile apps, and spend just 20% of online time browsing the Internet.”²² Some apps we use several times a day and others just a few times a week or month, or not at all anymore, but we just haven’t gotten around to deleting them. According to Localytics data released in September 2014, there is a percentage of apps that “are opened only once”²³—20% of apps downloaded fall into this bucket today. But for the apps that have been widely adopted, that same report further states, “Users open an app on average 11.5 times a month, up from 9.4 a year ago (22% increase) while app session length has remained constant at 5.7 minutes.”²⁴ In total for all of 2014, Flurry Analytics “tracked 2.079 billion sessions.”²⁵ For an app session to count, an app must be open for a specified period of time, which those measuring or tracking app usage believe constitutes user engagement.

The introduction of third-party mobile applications is the basis for two other mobile sub-ecosystems that have only just begun to take root in the marketplace: mobile payments or wallets and wearables, specifically those that are health related.

Mobile payments are exactly what they sound like—using your mobile device to make payments or complete transactions that are federally regulated.²⁶ Toward the end of 2014, once again with the launch of an Apple product solution, Apple Pay, the potential of mobile payments began to become clear. In fact, *Business Insider* significantly altered its original forecast for the mobile payments industry despite mobile payments accounting for only 0.1% of in-store retail volume in 2014. In early January 2015, its forecast was updated and now has “U.S. in-store mobile payments growing at a five-year compound annual growth rate of 172%, from \$5.5 billion in 2014 to \$818 billion by 2019.”²⁷ This rapid market growth is important, not just to brick-and-mortar retailers but also to consumer packaged goods manufacturers and other fast-moving consumer goods advertisers. Mobile payments or wallets have enormous potential to change consumer behavior specific to loyalty and promotional content and are already doing so. Typically, loyalty and promotional content are driven by trade and/or shopper marketing budgets and not tied in any way to media or advertising budgets, but nonetheless they constitute an important aspect of a brand marketer’s business that is now unique to the mobile marketplace. Remember too that

the wallets can “hold” more than just credit card information, loyalty card numbers, and coupons—wallets can also be in-app advertising vehicles, contain branded content, facilitate in-app purchases, or allow a user to gain access to physical places. This convergence of functionality could unite a brand’s media budgets and promotional budgets in a way that provides immense value to a consumer while getting a brand as close to the consumer as it comes.

Speaking of getting close to the consumer, the second sub-ecosystem within mobile apps, wearables, is absolutely unique and different from anything in digital today. Wearables are the epitome of personal mobile devices, given that they are worn and not just carried by an individual. The technology is in its early days, but wearables, especially health- and fitness-related ones, are poised for significant growth in the coming years.

In May 2013, Tim Cook praised one of the first mainstream wearables, the Nike FuelBand, and went on to hint at what was to come with Apple’s own Watch. Cook said, “Wearable technology is not limited to just the wrist . . . the whole sensor field is going to explode.”²⁸ He went on to say that the wearables marketplace is “a little all over the place right now. With the arc of time, it will become clearer.”²⁹ According to *Business Insider*, “There were 109 million wearables globally in 2014, a number that is expected to grow 432% to 578 million by 2019.”³⁰ A great example of a wearable that is both wallet and provider of access to physical places and experiences is the MagicBand by Disney. This wearable was rolled out en masse in 2014 and illustrates just what the world might look like when the wearables and wallet ecosystems mature further.³¹ The MagicBand seamlessly connects an entire family to every aspect of the park experience, providing value to the end user by enabling such things as keyless entry to your hotel room, paperless tickets to your pre-designated favorite rides, built-in contact information and proximity sensors to locate a lost child, and wallet functionality to pay for food and merchandise. The MagicBand is the precursor to evolving everyday experiences with mobile technologies that will ease friction for the consumer.

What’s a Brand to Do?

While we now live in an app-dominated mobile world, the answer isn’t for every single brand to go out and build a mobile application or strive to invent the next sub-ecosystem of the mobile marketplace. There are very few brands that have a strong enough value proposition to create experiences for mobile consumers that can truly stand alone. Instead, one of

the more successful mobile advertising strategies deployed today by brand advertisers is to steal mind share from within mobile applications consumers are already using, repeatedly. This is more commonly referred to as in-app mobile advertising, and it's incredibly successful within social sharing applications today and will likely be within wallets and wearables as well. Let's look at this use of mobile advertising through the lens of both an app developer and an advertiser.

By the Numbers

Facebook needs no explanation. While it might not always be the social network of choice for everyone, it is an example of the importance of a mobile strategy from the developer or publisher standpoint. Currently, Facebook mobile users (phone and tablet) number over one billion per month.³² The gap between the monthly active users online and monthly active users via mobile is slim today, and the gap continues to close every quarter. Monthly active users increased by 13%, year-over-year, for Facebook as of December 31, 2014, and its monthly active users totaled 1.39 billion. The monthly active users for mobile during the same time period increased 26%, year-over-year, and totaled 1.19 billion. Worldwide, "1 out of 6 people use Facebook."³³ With such a huge base of users, it's no wonder that increasing market pressure is placed on the company to show bottom-line revenue from advertising. Facebook is, after all, a public company. But it's a company that *hasn't been* focused on generating advertising revenue until recently. The company was founded in early 2004, went public in 2012, and roughly less than three years later has two million active advertisers reaching consumers across its digital and mobile properties.³⁴ It was for such a milestone that CEO Mark Zuckerberg and COO Sheryl Sandberg thanked those active advertisers personally via their own Facebook posts (of course) and with the following statement released publicly:

Our mission is to make the world more open and connected, and an important part of that is helping people connect with businesses. Today, we want to express our thanks to you and all of our advertising partners—2 million strong and growing every day. We're going to keep working to serve you better, so you can continue creating jobs and opportunities in your community, and moving the entire world forward.³⁵

They have reason to be thankful—Q4 2014 revenue from advertising was \$3.59 billion, a 53% increase from the same quarter last year. Mobile advertising represented approximately 69% of ad revenue for Q4 2014.³⁶ It's no

wonder that 50% (5 in 10) of smartphone subscribers were served ads in 2014.³⁷

One of those two million active advertisers is Lysol, a Reckitt Benckiser brand.

In 2012, Reckitt Benckiser launched a new product line under the Lysol brand called Power and Free. The product cleans with hydrogen peroxide as its main ingredient versus harsher chemicals found in other cleaners and is important as Reckitt Benckiser strives to have its household goods help create “healthier lives and happier homes.”³⁸ The household-cleaner landscape is crowded; just close your eyes and picture that aisle in your local grocery store or big-box retailer. Reckitt Benckiser knew it needed to create broad awareness that would drive trial or purchase quickly among its target audience of females ages 25–54. That’s a pretty wide demographic target, which is why Facebook was an ideal strategic partner selected as part of the product launch media plan.

According to the synopsis of the campaign posted online by Facebook as part of its business success stories, Reckitt Benckiser knew:

... Moms were on Facebook and spent a lot of time there (nearly four times as much time as the average user), the brand decided to go big on the platform and use Facebook as a mom-to-mom influence engine. For the three-month campaign that ran from Aug. 29, 2012, to Nov. 30, 2012, Lysol first ran Facebook ads to gain new fans for its Facebook page, then focused largely on increasing the reach of its Page posts, which centered on the safe and friendly aspects of Power and Free cleaning products. It posted colorful images of parents playing with their children and text such as “Like if you love how Lysol Power and Free lets you clean without the harshness of bleach.” Two target blocks helped it reach 50% of its target audience, mostly by using News Feed to reach moms who check their mobile phones on the go. By the end of the campaign, over 70% of impressions had been delivered in mobile News Feed.³⁹

The case study further highlights some of the incredible results the campaign generated overall. By adding a measurement component specific to ROI through a Datalogix ROI study, Reckitt Benckiser was able to capture specific measures of return-on-ad-spend, efficiency, purchase consideration, and lift in brand awareness.⁴⁰ While the campaign success metrics were impressive, the purpose in highlighting this case study was to provide an early example of successful in-app mobile advertising—Reckitt Benckiser used Facebook for its built-in audience of the exact target it was looking to reach at a moment that was crucial for building trial.

Mobile display, mobile search, and mobile video are all viable and important tactical media executions. They are essentially planned, bought, and sold akin to their big-brother digital executions. There is, however, a huge difference in measurement of mobile and online in the fact that there is no such thing as a mobile cookie. This difference is a pretty big rabbit hole that takes us off course from our current discussion. Instead, commit this to memory: online (inclusive of mobile) to offline attribution or measurement is going to be a critical component of the new advertising landscape. There isn't yet a solution for a unique identifier that can seamlessly follow a user across all media screens today. Great strides are happening in the media measurement world—hello, big data—but consumer privacy is and will remain a central focus of the discussion when it comes to mobile. Therefore, it will be a delicate dance for a few more years to come, as the industry understands the importance of getting it right without alienating or causing mistrust among mobile consumers.

What Does Work?

So what current mobile strategies and executions are effective for brands today? To answer that question, one can look to industry-leading case studies for understanding and inspiration. The examples were chosen to highlight the end user or consumer experience—the problem they solve for the user or the value they provide to the user seamlessly—rather than for the explicit mobile technologies, specific mobile apps, or advertising types used by the brands. By focusing on the engagement, the individual technology components, enablers, or apps become secondary for they will rapidly evolve and change over time, but the core focus on the consumer problem that the mobile experience is solving should not.

In-App Advertising

As the Facebook example highlighted, in-app advertising allows a brand to take advantage of existing consumer behavior by partnering with or integrating an advertising campaign into an already-popular and widely used mobile app. But just integrating a brand message or product offering into the app's main function is not enough to provide value to the end user. That is, for an in-app program to be well executed, relevance, targeting capabilities, and creative opportunities must be considered in conjunction with the main purpose of the application. Universal Pictures did just that as part of the campaign to support its February 2014 release of *Endless Love*. The

target audience for the movie was young adult women, and the release date coincided with the Valentine's Day holiday. Photo taking, editing, and sharing are hugely popular mobile activities among most smartphone users but especially with the target audience for this movie. Universal partnered with a new and rising photo app, Aviary, to allow users access to "a collection of branded photo-editing tools to send Valentines [to others] from selfies or other photos"⁴¹ that a user could edit through the app. Content specific to the movie was made available as part of the existing suite of editing tools, including word art and a picture of the leading actor that could be superimposed into users' photos. The campaign generated "7 million engagements and more than 10,000 hours of total branded-entertainment time."⁴² That kind of success doesn't happen by accident. The campaign was well planned to take advantage of an app growing in popularity among the audience the movie targeted—stealing mind share while giving users unique assets and creative value not found in other photo-editing apps: content that was intended to be shared with others, hence spreading awareness of the movie.

Native Advertising

Given that mobile usage today consists generally of short (but frequent) bursts of activity, it's important that advertising integrations do not distract or take users away from their intended task. One form of advertising that allows brands to integrate without distracting is called "native" advertising. This type of ad is an evolution from the very first "soap opera" created for radio and sponsored by makers of cleaning products in the 1930s. "Advertorials" are the equivalent in print, and today, digital and mobile native advertising are ads that resemble content but are paid for and placed by advertisers.

While native advertising executions are not new, they are still very much a work in progress in mobile. These types of executions have to be done with great care so as to create a positive brand association while at the same time allowing for an equally positive user experience. The 2014 MMA Smarties Bronze Winner Native Advertising is a fantastic example of how a brand can successfully deploy native ads in a mobile experience associated with a routine and time-specific task like checking the weather. In May 2014, The Weather Company and Jeep partnered to launch the redesign of an app and a vehicle. Together, the two companies created a campaign that effortlessly (to the user) integrated the all-new Jeep Cherokee into The Weather Company's Branded Background ad unit. Further, local weather-specific

messaging was integrated depending on the location the user was accessing the app from, allowing Jeep to showcase how the Cherokee could handle any type of weather condition.

"The native integration of Jeep's capabilities into the user's current weather conditions aligned Jeep's brand positioning with The Weather Company's expertise in all things weather. Messaging was not only relevant to various conditions, but specific to real-time weather experienced in a user's location."⁴³ The campaign was a huge success for both The Weather Company and Jeep. Given the timing of the app re-launch, Jeep was able to run the "first-ever Native Element ad unit, which performed an amazing 600 percent above the standard click-through rate of a mobile 320x50 banner ad. The audience only encountered the Native Element's strong call to action after exposure to Jeep's brand positioning in the branded background, reinforcing the story and driving an outstanding click-through rate."⁴⁴

Cross-Device Advertising

Mobile content is not all viewed on a single device type with the same exact screen size. Thousands of devices are available globally, and it's an aspect of the mobile landscape that makes it all the more complex for marketers to successfully deploy mobile advertising campaigns, as consumers do not stop to think about the thousands of devices to which mobile content and advertising campaigns must conform. They simply expect a relevant experience to what they are doing specific to which device they are using for the task. JetBlue ran a mobile advertising campaign in 2013 and learned that there were "significant differences between smartphone and tablet users."⁴⁵ The campaign was part of a continuous effort to message the company's brand positioning around "making traveling more enjoyable,"⁴⁶ and it combined the executional elements of long-form video, SMS messaging, and geo-location in key markets.

When it continued the marketing effort in 2014, JetBlue made adjustments to the deployment of mobile ads based on device type. Ads were triggered using geo-fence technology localized to hubs of public transportation. The case study write-up describes the difference in the ads as this: "On smartphones, the ads focused more on brand consideration and less on sales in deference to how smartphones are frequently used for travel research. On tablets, the ads featured a rich media game as these users have longer periods of time to spend interacting with content. Additionally, tablet users on Hulu and CBS viewers saw long-form video from the brand."⁴⁷

In a way, it was personalizing the experience for smartphone users versus tablet users. And it's this idea of personalization that is becoming increasingly critical to the success of mobile advertising programs today (and will be a must in the future). That said, personalization is a bit of an industry buzzword currently and means different things to different people. But for mobile users, it's a characteristic of messaging and brand interaction that they expect given the personal nature of the device.

Loyalty Marketing

Marketers today have found that mobile experiences can greatly contribute to building and maintaining brand-loyal customers or shoppers. These experiences go beyond in-app advertising, native advertising, or specific device-type ad deployments and often integrate user-driven activity, which is deemed valuable by the user and beneficial to the brand. The 2014 MMA Global Silver Winner Wearables Impact on Marketing; North America Global Winner Wearables Impact on Marketing is an example of using mobile to drive loyalty.⁴⁸ In 2012, Walgreens launched its branded loyalty program, "Balance Rewards," and by 2014, the program had become the largest in the world despite the U.S.-only presence of the retailer. Walgreens wanted to move beyond user acquisition or Balance Rewards enrollment and shift focus to one of wellness among members.

To do this, Walgreens integrated an open API (an Advanced Programming Interface that is available free to third parties) to its Balance Rewards digital and mobile properties. That allowed loyalty members the opportunity to sync fitness apps or wearables to their Balance Rewards account. In exchange, users were able to earn reward points, which are most commonly redeemed for cash off at point-of-purchase. For many, "the concept of getting points for healthy activities for zero cost has been seen as one of the more compelling benefits of any loyalty program."⁴⁹ The unique use of health-related devices and apps, which are mainly mobile by default, resulted in members connecting 200,000 devices or apps to earn over 2.2 billion points⁵⁰—a win-win for both the consumer and Walgreens and one made possible by the mobile ecosystem of app developers and makers of wearables.

Mobile Is Still a Liquid Marketplace

Today's mobile marketplace is still fraught with challenges, and not all mobile advertising provides the value exchange proposition that consumers expect. Many brands are playing catch-up to the expectations of consumers today, with whole industry categories or verticals of brands yet to

devise and implement a mobile strategy that provides for the crucial value exchange between them and their target audience.

Consumers live in an *and* world composed of digital and physical experiences. Successful mobile marketing and advertising (and really, all advertising) must recognize this. An entire book could have been dedicated to the specific tactics of mobile advertising (including mobile search, mobile display advertising, and mobile video), but it's important to keep in mind that ad formats and technologies will continue to evolve and change but the personal nature of devices will not. The value exchange is what matters to the consumer and what should matter to the brand advertiser. The value proposition may come to life through various tactics, but to really be successful, mobile experiences need to deliver relevant and timely information or access to content without distracting or taking users away from their intended task. Brand advertisers and marketers play a big role in helping to solidify the marketplace, and it's through mobile website display, video, search, and in-app advertising (that takes into consideration audience, contextual relevance, device type, and personalization) that they are succeeding in creating new brand adopters and retaining brand loyalists. Only time will tell what the future of mobile really consists of, but some aspects of tomorrow are well known already.

The mobile marketplace of tomorrow will be composed of greater device-to-device connections that will enable content and experiences to be personalized using a combination of known user data points, an even broader range of device types, and the technical compatibility to create truly seamless user movement between devices. Speed to connect will be of greater importance as the reliance on mobile increases for the "I-want-to-know moments," "I-want-to-go moments," "I-want-to-do moments," and "I-want-to-buy moments." Marketers will be at the center of the mobile marketplace of the future as advertising budgets increase and capability for new types of engagement is invented. Their target audience will include a generation that never knew a world before the Internet, tablets, and mobile phones. Members of this generation are tomorrow's heads of household who will control brand purchasing decisions across major categories, from fast-moving consumer goods to auto to food and beverage, finance, and so on. And you can bet that their expectations for engagement will be higher than those of consumers today who have mainly grown up as the mobile landscape was forming.

Conclusion

As you look to understand and prepare for new directions of mobile advertising, there is one thing you can do to better understand the importance

of having mobile marketing and advertising campaigns provide a value proposition for the consumer: be curious! Do that by being an active mobile user yourself. Explore, debate, and ideate solutions for what does and doesn't work for you as a user. Always ask yourself if the experience is providing value or a benefit to you. Commit to memory the exceptional brand-engagement experiences you do have, because regardless of whether you are or become an agency media buyer, brand marketer, mobile app developer, agency account lead, or none of the above, you are a consumer first and foremost. Remember, the technologies will evolve, the companies providing those technologies will change, and the ad formats bought and sold in mobile will get new names, but mobile consumers will always be the end users. Their motivations and behaviors are the most important thing to understand, or else successful mobile advertising campaigns that provide value will elude even the biggest brands and most well-known marketers.

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Chapter 6

Unraveling User Psychology of Location Check-Ins via Mobile Devices: Motivations, Privacy Concerns, and Indirect Advertising Effects of Location-Based Information Sharing in Social Media

Hyang-Sook Kim

Sharing one's location information has become an integral part to the lifestyle of mobile device users. According to the Pew Research Center, 74% of smartphone owners among adults obtain not only geographical directions, but also various kinds of information for businesses, transportation, people, and so on, based on their real-time locations. In addition, 30% of social media users ages 18 or older set up their accounts for location-tracking eligibility to accomplish simple check-ins in social media (e.g., Facebook Places).¹ The popularity of geographically oriented behavior among smartphone users led the online advertising industry to make use of this particular mobile communication technology as a cost-efficient

means of advertising.² Making use of the information willingly shared by real customers (rather than expending effort in more traditional marketing attempts) allows businesses and advertisers to increase the exposure of their brand names and services, thereby reaching out to new potential customers.³

However, a small percentage of social media users have begun turning off location-tracking features on their mobile devices due to concerns surrounding privacy entrenchment.⁴ It is undeniable that the early versions of location-based services (LBS hereafter) lacked user controls for privacy settings. On principle, geographically traceable information via LBS is accessible by anyone.⁵ In order to assuage user privacy concerns with regard to the use of LBS, researchers have developed different user information filtering models through which users can protect themselves from unwanted private information leakage.⁶ As a result, up-to-date LBS for smartphones offer safeguard features for user privacy protection, which implies a high consciousness of user privacy even among LBS providers.⁷

Both the positive and negative aspects of LBS might call for a fundamental question to the realm of online advertising: will LBS still play a critical role as a promising means of social media marketing? In particular, the increasing popularity of location check-ins on popular social networking sites (e.g., Facebook Places)⁸ calls for close examination of the genuine effects of LBS upon both *sharers* (i.e., social media users who actively share their locations) and *sharees* (i.e., social media users who are friends of sharers) of the location information. What drives smartphone users to check in at locations or be willing to make their location available to their friends on Facebook? Do privacy concerns eventually prevent them from active location information sharing? What exactly happens, more psychologically than technologically, when people share their location information via various LBS applications in social media? Does user psychology of LBS really matter to online advertising? This chapter addresses these questions, primarily by offering a summary of LBS applications that articulates definitions and practices of social media use. Next, it provides a synthesis of user psychology driven by social and cognitive psychology for the mobile communication behavior of LBS as it impacts developers, advertisers, and researchers.

Definitions and Practices of Location-Based Services and Location-Based Information Sharing

Location-based services (LBS) are defined as “a subset of web services meant to provide functions that are location-aware, where the use of such

services is predicated on knowledge of where the services are engaged.”⁹ The spectrum of LBS has been rapidly and substantially evolving since its advent in 2000s.¹⁰ The development of LBS has been molded to suit the various purposes of mobile applications, including local business searches and recommendations (e.g., Foursquare/Swarm, Yelp, Google Places on Facebook), geographic-oriented social networking (e.g., Find My Friends, Girls Around Me), and personalized information for shopping (e.g., Shopkick, Where, Groupon) and travel (e.g., TripAdvisor), as well as other mobile user behaviors such as dating searches, gaming, navigation, and geographic annotation.¹¹ When LBS applications became available in the market, businesses and advertisers paid immediate attention to this mobile communication technology because of its potential for online viral marketing.¹² A simple user action via mobile device to share location information is likely to increase exposure of business names and service information to other users online. When linked with aggregated reviews of customers (e.g., Google Reviews), the exposure to local businesses instantly shapes one’s impression of the businesses, which is critical to marketing.¹³ Indeed, businesses actively promoted the value of customers’ location information by using social media to reward the customers’ information sharing through a point system (e.g., Starwood Hotels’ loyalty program).¹⁴ They also offered mobile phone users personalized advertisements of local shops and events (e.g., Microsoft’s partnership with mobile applications services that gather data on local shopping options), which, in turn, could increase probability of brand exposure.¹⁵

Thus, aside from the practice side of LBS providers, the action of location information sharing can be considered a hybrid form of electronic word-of-mouth (eWOM hereafter)¹⁶ in an online marketing context. While the action of mobile check-ins is defined as users “digitally confirm[ing] their physical presence at a particular place,”¹⁷ this action of sharing location information automatically forms groups of recipients of the information as well as aggregated evaluations through repetitions of sharing actions available in social media platforms. Thus, similar to the idea of collective intelligence,¹⁸ location-based information sharing (LBIS hereafter) performs the chief function of eWOM, defined as “any positive or negative statement made by potential, actual, or former customers about a product or company, which is made available to a multitude of people via the Internet.”¹⁹ Here, one conceptual distinction can be made between eWOM and LBIS stemming from the range of location information availability: whether the outcome of the action of sharing is available to anyone online (eWOM) or limited to in-group and known groups defined by location

information sharers in social media (LBIS). Thus, LBIS can be defined as a mobile user action that willingly offers the information about locations with commercial intent at a certain degree to other users within the user's known online networks based on the user's evaluations and experiences. Therefore, when focusing on this definition of LBIS, which requires two parties in communication action, LBIS needs further examination focusing on the user psychology of both information sharers and sharees.

User Psychology of Location-Based Information Sharing: A Sharer's Perspective

Motivations of Location-Based Information Sharing

Since the early scholarly works about LBIS,²⁰ little research has closely examined the question of why LBIS (or even LBS) attracts the users of social networking sites (SNS hereafter) to be engaged. Some of the early research in this vein approached this question by conceptualizing LBIS as the same as SNS behavior for self-presentation and self-disclosure.²¹ This research examined the degrees of motivations of LBIS among SNS users (i.e., check-ins on Facebook) by adopting the same scale of motivations for generic SNS behaviors with a conceptual focus of identity construction and social interactions.²² It is plausible that SNS users digitally pinpoint where they are as a means of storytelling, called "presentation of place," that functions as an extension of self-presentation via regular status updates and photo upload activities.²³ However, the notion of LBIS in social media as an extension of generic SNS behaviors might overlook subsequent impacts of LBIS in the context of user interactions on SNS. LBIS motivations solely driven by Facebook users' egoism have predicted personality traits such as extroversion and narcissism of those LBIS users on SNS (or vice versa).²⁴ In other words, the degree to which an LBIS user is likely to check in at locations on Facebook will be dependent upon the personality type of the user (i.e., is he or she outgoing or highly conscious about how he or she looks to others?) instead of the reactions the user expects from his or her Facebook friends.

As a hybrid of eWOM (as I defined it earlier in this chapter), on the other hand, LBIS requires extended research to sketch a holistic picture of user motivations to check in at locations in social media. What drives SNS users to check in at locations besides ego-oriented motivations? One way to examine user motivations of LBIS is to attribute LBIS to the nature of contributing to collective public goods.²⁵ For instance, on Flickr, one

type of LBS, people share, annotate, and tag photos to amplify and satisfy their feelings of enjoyment, commitment to the community, focus of self-development, and desire to heighten their reputations.²⁶ Considering that photo sharing via Flickr shares some of the same characteristics as location sharing via SNS—for example, the action of both is self-initiated and simple to accomplish—users might also engage in LBIS for the four motivations mentioned earlier. In particular, a self-initiated action like LBIS boosts one's confidence with community contribution followed by an expectation toward community recognition by the label of "expert."²⁷ An earlier work regarding motivations of photo sharing also found that people shared photos for not only self-annotation for their future use (i.e., digitally accessible photo albums) but also community contribution and reputation building.²⁸ Similarly, people who used Foursquare to check in at locations online indicated the following as their strong drives for LBIS: maintaining the connection with friends as a type of sense of community, enjoying the LBIS activity itself, and exploring new places for their own knowledge similar to self-development.²⁹

Another way to approach user motivations of LBIS is to speculate the nature of the information shared. The locations at which people check in are classified into certain types of business, such as transportation services, scenic areas, and hotels.³⁰ Considering the commercial nature of the locations shared by SNS users, it is inevitable to expect an evaluative component in the location information shared. Thus, like eWOM, LBIS also offers SNS users a way to empower themselves as well as a source of viral communication. The significant influence of viral communication on one's decision-making process has been found in online commerce research.³¹ Even though the distinctive characteristic exists between eWOM and LBIS as stated earlier in this chapter (i.e., the boundary of information reach—undefined anonymous online environment versus known, in-group networks), the subsequent influence after the sharing action would be similar. In other words, the primary function of LBIS—spreading word of businesses—is perceived as in-group eWOM. Basically, when people share location information on an SNS such as Facebook, they suggest a pleasant experience with the location itself.³²

Specifically, a series of explanatory studies combining qualitative and quantitative data identified that people forwarded viral messages to be fun, enjoyable, entertaining, benevolent, and connected to others.³³ Furthermore, a study that surveyed 2,000 active contributors to online message boards discovered eight dimensions of eWOM motivations, namely: "platform assistance, venting negative feelings, concern for other consumers,

extraversion/positive self-enhancement, social benefits, economic incentives, helping the company, and advice seeking.”³⁴ As this study found that the concerns for other consumers, extraversion/positive self-enhancement, social benefits, and economic incentives predicted one’s actual eWOM activity, it might be plausible to expect similar findings for LBIS motivations.

Privacy Concerns (or Lack Thereof) and Location-Based Information Sharing

While smartphone users enjoy being connected to and bonded with other users for practical purposes—clearly information sharing, although at various degrees—they also become concerned about this geographically tied online networking behavior for the matter of security. Undoubtedly, having one’s location information be traceable by anyone online might put the user in danger in a variety of situations.³⁵ To assuage such fears surrounding privacy breach as a result of LBS, studies have tested various filtering models for user information to demonstrate improvement of LBS functionality.³⁶ Aligned with such efforts made by LBS developers, early in 2014, Foursquare—a location-based service for local businesses—launched a separate mobile application, called Swarm, which systematically limited the access to users’ location information to in-network of the user instead of truly public access.³⁷ Furthermore, location check-ins (also known as Places) via Facebook, which allows users to edit their privacy settings, have been particularly popular among adult smartphone users.³⁸ Therefore, this popular trend of location check-ins on SNS might be attributed to the fact that users perceive that privacy settings are under their own control in this domain of location information sharing.³⁹ In other words, users do not much fear negative consequences from unwanted privacy information leak as long as they feel comfortable with the interfaces of SNS.

Theoretically, privacy concerns occur when a person perceives his or her “right to own private information, either personally or collectively” to be transgressed by others’ access to the information.⁴⁰ According to the communication privacy management theory, the degree of one’s perceived privacy concerns depends on the levels of (1) intimacy between one and those who will access the information, (2) possibility of public access to the information, (3) one’s control over the private information, (4) stability of the system for the information sharing, and lastly (5) one’s personal pressure to make a decision on what will be kept private and what will be disclosed.⁴¹

In general, the consistent conclusion from the previous research about the relationship between SNS activities and perceived threats to one’s

privacy suggests that the exposure of one's personal information in SNS showed little connection to one's apprehension of privacy breach.⁴² This result is mainly due to the high level of trust toward the interface through which users disclose their personal life matters.⁴³ Furthermore, privacy concerns while using SNS are likely to dissipate because users are confident with their control over the information and its reach within their known network (e.g., sharing information only with their friends).⁴⁴ Thus, these findings from the previous studies regarding the generic SNS behaviors also imply little relationship between LBIS and perceived privacy concerns among SNS users. In fact, Pontes et al. found that the perceived concerns surrounding LBIS activities even via Foursquare (a more open platform than Facebook) were not much higher than what the study originally anticipated.⁴⁵ Furthermore, it is unlikely that a higher level of perceived privacy concerns among LBIS users would result when they share non-sensitive information regarding their experiences with locations on SNS.⁴⁶

It must be noted, however, that research is very scarce to offer empirical evidence of the relationship between the chief variables addressed thus far solely in the context of LBIS or even LBS. A recent study investigated the relationships between LBIS motivations, which were adopted and modified from eWOM (viral communication) motivations,⁴⁷ and privacy concerns to estimate the suppressing effect of privacy concerns that could be evoked by LBIS on user motivations of LBIS, if any. The study, based on data from 255 college students found that first, prior, and current LBIS users showed greater degrees of all four motivational dimensions (i.e., enjoyment, commitment, self-development and reputation, and promotional purpose) than those who knew of LBIS but had not used it. In addition, a regression analysis to estimate how likely privacy concerns were to predict these motivational factors found that general online privacy concerns would inhibit the motivation to promote the location via a user tag ($\beta = -0.34$, $p < 0.05$) only for non-users of LBIS ($n = 107$), while privacy concerns on Facebook did not show many negative influences on LBIS motivations.⁴⁸ More research needs to be done to verify these findings for the relationship between user motivations and privacy concerns with a large data set. For advertisers and local businesses who have already adopted or are currently considering LBIS applications for their online advertising, an accurate examination is required to confirm the possible inhibiting factor of LBIS activities among Facebook users or other social media—and thereby indicate whether these advertisers and businesses should be investing time to redirect their potential customers who are willing to check in at locations.

Significance of Location-Based Information Sharing to Online Advertising

The user psychology of LBIS for those who engage in this mobile communication behavior points to two primary areas of research—user motivations and privacy concerns. As a result of LBIS action made by the *sharers*, the psychology of *sharees* underscores the significance of LBIS to persuasive communication that ideally optimizes advertising effects. The common practices of LBIS occur within known networks, mostly between friends online (e.g., Facebook friends). Thus, the influence of friends who share their location information in social media venues is likely to be substantial, especially when the relationship between *sharers* and *sharees* is solid. Previous literature has focused on the effects of friendship tie strength on social media marketing, including LBS.⁴⁹ The following section will summarize the mechanisms of the positive influence of relationship tie strength on advertising effects in LBIS.

Who Shares Location Information?

Perceived credibility is one of the most significant predictors of attitudes toward target information and the information recipient's behavior.⁵⁰ Perceived credibility is formed by the accumulation of three dimensions of cognitive evaluations on target information/message: expertise, trustworthiness, and believability.⁵¹ This cognitive evaluation process is mainly driven by source of information. Depending on how likely the information source deems one or all three dimensions of credibility, the degree of perceived credibility and persuasive effects of the source itself will differ.⁵² An ample body of literature has confirmed the critical role of one's cognitive evaluations driven by credible source, especially in the context of consumer psychology.⁵³ An unequivocal conclusion from this line of research is that the greater the perceived credibility, the more positive evaluations and persuasive outcomes.⁵⁴

Specifically in the context of viral communication, Steffes and Burgee (2009) found that familiar sources (e.g., friends) would be more influential to forming positive attitudes than nonfamiliar sources mainly because of the different degree of perceived credibility of the sources.⁵⁵ Not to mention, LBIS on Facebook (i.e., location check-ins) always involves a friend as a source of location information, which is likely to induce the acquaintance effect on persuasion in a commerce context.⁵⁶ The following section will present theoretical principles for the underlying mechanism of potential

advertising effects of LBIS by addressing the effects of tie strengths on user cognition undergirded by the Persuasion Knowledge Model (PKM hereafter).⁵⁷

Tie Strengths and Location-Based Information Sharing

The fundamental principle of the PKM⁵⁸ is that people acquire a wide range of skills and information to comprehend and evaluate persuasive messages and situations (i.e., persuasion knowledge) through the course of interacting with others, including friends and/or persuasion agents (e.g., advertising agencies), or via vicarious learning (i.e., persuasion episodes). This model identifies two separate parties who are typically involved with the development of persuasion knowledge constructed from the persuasion episodes: target and agent. From the agent's perspective, it is important to stimulate the target through persuasive messages (i.e., persuasion attempts) prepared based on a sufficient understanding of not only the target, but also the core topic presented in the message. On the other hand, from the target's perspective, it becomes automatic rather than preplanned to resist the agent's persuasion attempts based on their existing persuasion knowledge accumulated by first- and secondhand experiences over time (i.e., persuasion coping behaviors). Therefore, persuasion effects would be optimal when the intensity of the target's coping behavior becomes weak when the agent's persuasion attempt is made.⁵⁹

Previous literature in the similar context of the effects of LBS (i.e., viral marketing) has demonstrated how the PKM could explain the positive effects of viral communication on online advertising.⁶⁰ In particular, this line of research points out the significance of tie strengths to persuasion effects of viral messages.⁶¹ As the PKM suggests, the effectiveness of persuasion attempts by the agent in the model is dependent upon the target's resistance toward the agent's attempts.⁶² In other words, it is plausible that little resistance toward the persuasion attempts could occur if the target does not perceive the agent's effortful intention to persuade him or her in the form of persuasion attempts.⁶³ Therefore, invisibility of specific agent (i.e., source of persuasive message) might induce positive effects of message on persuasion, forming positive attitudes and behavioral intention. This prediction can be corroborated by "the detachment effect," as the target least perceives persuasive intent embedded in the content if the message is sent by a close friend.⁶⁴

Some of the related research in social media advertising confirms the prediction made by the PKM principle. van Noort et al. conducted an

experiment with 51 Dutch SNS users (specifically, users of Hyves, the largest Dutch SNS as of 2012⁶⁵) to test if tie strength, defined as both closeness⁶⁶ and time spent with SNS friends⁶⁷ in social media, would play a critical role to reduce perceived persuasion intent—and thereby increase effectiveness of viral marketing (in this case, advertisement for a virtual roulette game to win a ticket for a “VIP’s” night out).⁶⁸ The study found that the level of closeness between SNS users, not the time spent with each other, increased positive attitudes toward the campaign, campaign relevance, and forwarding intention via persuasion intent among SNS users who received the advertisement. Another study tested the effects of tie strength on persuasive outcomes in advertisements presented through one’s Facebook account.⁶⁹ The study found a positive effect of the strong tie on the perceived credibility of the information source. However, this positive effect of the strong tie (i.e., the degree of perceived friendship with Facebook friends who shared the advertisement) on the intention to further share the advertisement only occurred when this sharing activity was made on Facebook feeds, not through a private message. The findings from this study imply that persuasion intent via an agent’s persuasion attempts could be still detectable even if a close friend shared an advertisement “privately” instead of publicly on Facebook.

The effects of tie strength could vary depending on the type of product or service advertised on a friend’s Facebook feed. People could become conscious of intentional advertising even when the referent of product or service was a close friend on the SNS. People responded to the advertisement forwarded by their close Facebook friends in a positive manner if the advertisement contained information about products that primarily stimulate affective and sensory responses. If the advertisement triggered careful examination of the product because of its value-laden nature, such as product quality or cost-to-benefit ratio, indirect SNS advertising would not be effective to increase positive product attitudes or purchase intention.⁷⁰ The finding from this particular study implies that friendship tie would be influential to people’s evaluations on location information, which mostly introduces economic or hedonic aspects of products and services related to social gathering, traveling, transportations, and other public services.

In the line of technological development research, Song et al. suggested three layers of relationships that could explain user engagement with LBIS in social media: the relationship between people (i.e., LBIS users), the relationship between people and locations, and the relationship between locations.⁷¹ However, the study employed mathematical modeling tests to best predict LBIS user performance to articulate the role of tie strength based on

a thesis akin to the core argument made by PKM. Karimi and Yetkai also tested prediction modeling for possible social influence by friends regarding the use of LBIS based on Foursquare user data to determine the influence of friends who check in at locations via Foursquare.⁷²

When this relationship between tie strength and persuasive outcomes is examined in relation to the psychological effects of sharing one's location information on Facebook, it is immediately apparent that if the location information is shared by close friends, the perceived credibility is greater than when the information is shared by distant friends because of the relatively long history of the relationship and direct experience with the close friends. Indeed, a survey of 255 college students in the United States showed a strongly positive relationship between the degree of tie strength with the friends who shared location information and that of perceived credibility of the location information as well as attitude toward the information.⁷³ One limitation of this study is that participants' perceived persuasion intent was not measured in the survey regarding the location information shared by their Facebook friends and reviewed on their Facebook feeds. However, it can be assumed that the persuasion intent would be very minimal because of the uniqueness of information presentation for the location. It is typical for Facebook users to activate their persuasive coping behavior based on their persuasion knowledge as soon as they read advertisements on social media platforms regardless of the source of advertisements because the information presentation of the advertisements is inevitably similar to advertisements found in other types of online media platforms. However, location information tagged by Facebook users is contained in a simple and succinct form of information display on their friends' feeds and their own, which automatically dismisses their cognitively available persuasion knowledge and subsequent coping behavior to scrutinize the information.

Moreover, the positive effects of strong tie strength on persuasive outcomes could be attributed to an individual's tendency to rely on a cognitive shortcut for information processing when cues of the information source are available, especially when the person is not highly involved with the target information.⁷⁴ It is widely accepted that a user of online media-mediated communication platforms where information cues are flooded is likely to make easy, quick judgments based on available source cues such as source expertise (e.g., a high level of membership badge like "guru" compared to "junior") or information popularity (e.g., star ratings of a product review).⁷⁵ Given this principle of peripheral-route processing,⁷⁶ Facebook users are expected to positively evaluate the location, highly likely to be a business place, through a quick glance at the name of the

business and the star rating provided by the Google reviews mostly because their Facebook friends tag the location. Details about business places are not necessary for this quick judgment moment on Facebook. Furthermore, under the consideration that Facebook users check in at locations even for the means of showing off their presence at special, popular places,⁷⁷ it is plausible to expect that most of the locations tagged by Facebook users are given positive reviews with many star ratings. Therefore, in addition to the cueing effect of tie strength as a role of source credibility which diminishes persuasion intent,⁷⁸ the cue-accumulation effect where more than two heuristics are activated to facilitate quick judgment faster⁷⁹ could occur for the positive evaluations made by their Facebook friends along with positive, aggregated reviews provided by Google.

Implications and Future Directions for LBIS Research and Practices

Compared to the rapid speed of technological development of LBIS in social media,⁸⁰ the number of relevant empirical studies is limited to directly addressing various relationships guided by previous literature in similar areas of research such as consumer research and persuasion. A small number of empirical studies have investigated the relationships among user motivations, privacy concerns, and other related variables related to user characteristics,⁸¹ the effects of interpersonal relationship strengths,⁸² or other assisting technological features used for LBS (e.g., customizing options to choose ads and location congruity⁸³). Thus, the remaining section of this chapter will address the issues and variables still uncovered in this area of LBIS research as future directions to pursue.

Empowering Users of Location-Based Information Sharing

Previous literature suggests that the likelihood of adoption of LBS and LBIS could be determined by not only prior experience but also competence with the technology.⁸⁴ These findings are aligned with the core theoretical principle suggested by the technology acceptance model⁸⁵—that users would adopt a new technology when they find the communication technology useful and easy to use. In other words, although it is simple for users to check in at locations utilizing familiar social media interfaces like Facebook, LBIS still requires users to go beyond their thresholds to initiate LBIS actions driven by self- and other-motivated purposes. As mentioned in the earlier section of this chapter, the matter of privacy concerns might

also come into play to encourage or discourage the use of LBIS because people who use their Facebook accounts but rarely post on their Facebook feeds would be concerned about their privacy more than those who frequently update their status on Facebook.⁸⁶ This is particularly true among Millennials who perceive their mobile phones as vital parts of their lives.⁸⁷ Young people's early adoption of privacy setting features on Facebook lessened their privacy concerns compared to those of older generations and led them to share more about themselves on Facebook.⁸⁸

Therefore, for further practical implications in LBIS research, some of the individual difference variables need to be taken into consideration beside demographics (e.g., age, gender, or education) and personal traits such as conscientiousness and neuroticism.⁸⁹ One study analyzed the relationship between habitual use of a mobile phone device as well as competence with the device and motivations to use LBIS on Facebook.⁹⁰ Using the scales of mobile phone involvement⁹¹ and mobile phone competence,⁹² the study found that the mobile phone competence that indicated one's skillfulness of mobile phone use positively predicted the person's commitment motivations, especially among those who are prior or current LBIS users on Facebook. The mobile phone involvement that indicated one's habitualness of and dependency on mobile use positively predicted enjoyment and promotional-purpose motivations for those who had used LBIS on Facebook while it positively predicted self-development and reputation-building motivation for those who had heard about LBIS but had not used it on Facebook's platform.⁹³ However, this single study is not sufficient to establish concurrent validity of the study findings⁹⁴ or to comprehensively speculate various responses from LBIS users regarding their initiating motives and continuation of the technology use. Hence, further investigations—with different sizes, ideally large as to allowing big data analysis, and characteristics of data samples—are imperative.

Additional or similar variables that estimate one's technological capability and adoption could also influence information recipients' evaluation of the location information. Relevant and sufficient knowledge about technology is likely to reduce cognitive burden for information processing, thereby facilitating one's quick judgment, which is largely governed by activation of cues and heuristics.⁹⁵ For instance, people who were willing to adopt mobile technology to their everyday lifestyle showed more positive attitudes toward mobile advertisements. This relationship, however, was not true of those who were not familiar with mobile technology.⁹⁶ In other words, a skill set or knowledge of the technology use would prevent cognitive distraction from heuristic processing in evaluating the advertisement

information in a positive fashion. Another study found that LBIS users were able to recall location information better than nonusers.⁹⁷

Therefore, prior experience appears to be critical to the central part of knowledge about the technology, making it likely that this prior experience will boost the positive influence on one's judgment of the location information shared on Facebook. Kim and Chung found that college students' evaluation of the location information that their friends shared on their Facebook feeds was more positive among those who had a prior experience with LBIS than those who had not checked in at locations on Facebook before.⁹⁸ Furthermore, this study also found a moderating effect of mobile phone competence⁹⁹ on the evaluation of the location information shared on Facebook such that the positive relationship between the tie strength and perceived credibility and positive attitude toward the location information shared by Facebook friends was true only for those who reported themselves to be competent with mobile phone use. Those who showed a lack of competence with mobile phone use did not show any difference in perceiving the location information shared by their friends on Facebook regardless of the strength of their friendships.

A recent study using big data analytics suggests that local businesses that offer special promotions to Foursquare users might not be as successful in this strategy as the business owners anticipated because most smartphone users are not used to exploring the area to determine the final destination for their gatherings or special occasions via location information available on Foursquare. Therefore, it is highly recommended that local businesses and online advertisers focus on promotional campaigns that educate potential customers who own smartphones so that they increasingly find location information via their mobile device, or even deploy "geo-fenced push notifications" for passive exposure to this technological adoption possibility.¹⁰⁰

Upcoming Issues of Empirical Testing for LBIS Research

In fact, most of the previous research on the use of LBS or LBIS (the latter of which is even more scarce) focused on prototyped models or user experience testing for system improvement.¹⁰¹ For example, Bilogrevic et al. proposed and accessed several computation models to predict motivational factors of LBIS users, mainly involving users' perceived privacy concerns and appreciation of LBIS technology.¹⁰² Basically, their assumptions to propose prediction modeling to estimate actual degrees of LBIS user motivation to engage in LBIS applications (Foursquare, specifically, in this study)

were built upon the likelihood of privacy threats inhibiting user engagement with LBIS technology which could be distracted by the likelihood of satisfaction with the technology itself. In the communication research domain, a body of literature has provided applied knowledge from previous social media studies mainly for privacy matters, as summarized earlier in the chapter.¹⁰³

Later, scholars started investigating the effects of psychological variables on user engagement with the LBS and LBIS technology¹⁰⁴ as well as persuasive outcomes¹⁰⁵ to harness theoretical and practical implications for the future use of this technology. However, the list of psychological variables tested in the previous studies thus far with regard to LBS and LBIS use and user perceptions does not seem exhaustive when compared to previous research done for social media in general. For example, Rauniar et al. outlined a theoretical path among psychological variables—including perceived ease of use, perceived playfulness, perceived community mass, perceived competence, and perceived usefulness—which predicted the likelihood of social media adoption guided by the technology adoption model.¹⁰⁶ In LBS and LBIS research, however, these vital psychological variables and related theoretical frameworks, other than PKM, have not been tested in terms of predicting LBS and LBIS technology adoption among smartphone and social media users.

Some studies have attempted to articulate the unique adoption patterns among different types of LBS users,¹⁰⁷ but this research is still inconclusive given the myriad of directions to pursue for research and technology implementations and improvements. One study developed a prediction model to estimate the probability of location check-ins as well as lifestyle patterns of LBIS users driven from Foursquare's data. By running the model, the study created an informative outline to understand when and why people check in at locations via LBS applications, answering questions such as: does a user check in at locations during his or her daily routines for commuting to work or school, eating, entertainment, offline social interactions, and so on?¹⁰⁸ Gender, however, might alter the dynamics of user patterns of LBS and LBIS. A survey of 563 college students in the United States found different patterns of female and male LBS users' responses to privacy concerns, technology adoption, and subsequent behavioral intention to share location information. Female students showed a slightly higher degree of privacy concerns surrounding the sharing of location information than male students. The female students' perceptions of the ease of using LBS technology also appeared to be an important predictor of sharing location information when compared to the male students.¹⁰⁹

Aligned with the potential parameters for future empirical studies about LBS and LBIS, the early work regarding LBS classifications in 2004¹¹⁰ suggested two ways of understanding LBS technology use: does the LBS application aim for individual users (i.e., person-oriented) or does it solely operate for the device itself (device-oriented)? For instance, with the person-oriented focus, LBS can be categorized and further developed to improve its functionality to satisfy LBS users with communication assistance, quick information search, and the roles of entertainment connector with other users and commerce assistant for better bargains. The other focus, device-oriented, is mainly intended to provide LBS users with tracking updates in a form of alert.¹¹¹ Furthermore, LBS applications are designed to push or pull location information for users depending on the intensity of user needs for location information (i.e., regular update of local information by push information delivery versus immediate need of location information by delivery mode of pull information).

This classic taxonomy might still work for the LBS applications available to current social media users, although it should be updated to include the many types of LBS applications newly available to users (those developed since early 2000s). More importantly, with this classification list, future research could probe what necessary variables researchers should explore to benefit the real practices in market. In particular, with the focus of online advertising, research could explore legitimate ideas for mixed-method or longitudinal studies via collaboration with LBS providers and business owners who actually employ LBS for their online marketing.¹¹² Furthermore, since the combination of function of communication and e-commerce assistance points to what LBIS ultimately aims in social media, researchers could extend previous studies and their findings to test various theoretical models. For instance, LBS users who regularly seek local information including people search more actively via Badoo or Tinder than those who primarily use LBS applications for their one-time search for the best restaurants in town (and are more likely to use such applications as Foursquare and Yelp). These two groups of users might possess different degrees of competence with such technology use and appreciation for the technology. In this case, tie strength might not be the influential factor that helps researchers predict social and cognitive mechanisms that encourage or discourage user engagement with LBS and LBIS. As target segmentation is key to the success of advertising, further research is strongly suggested to accurately and comprehensively understand users of different kinds of LBS applications.

Furthermore, we do not have enough empirical evidence to conclude that these psychological variables (perceived privacy threats, tie strength,

perceived competence, and other user perceptions on LBS and LBIS) would eventually make a difference in not only users' attitudes toward the technology itself—and, hence, active engagement—but also positive evaluations on the information shared via LBS and LBIS, since most of the previous studies heavily relied on self-reported survey data.¹¹³ One study conducted a controlled lab experiment to test the effects of types of tailoring services—personalization and customization—integrated to location-based services for advertising on smartphone users' attitudes toward the advertisement.¹¹⁴ This study particularly tested how likely accuracy of location-based advertisement and smartphone users' interest in a product advertised were to shape certain attitudes toward the advertisement when the smartphone users had control over the selection of products and services to be obtained. The study found that, as anticipated, participants in the experiment evaluated the advertisement more favorably when the advertisement accurately reflected their real-time location than when it failed in location accuracy. Furthermore, the participants found the product advertised more attractive when they believed they had a choice in which product and service would be contained in the advertisement than when they had no such choice. However, the findings from this study were not conclusive to offer a novel idea to LBS developers, or even local businesses, other than what people anticipated toward LBS use. The scarcity of experimental research might be due to the complexity of LBS technology for manipulating chief variables of interest. While tie strength was confirmed to be critical to making a difference in an individual's cognitive evaluation of location information shared by his or her Facebook friends,¹¹⁵ the findings were based on self-reported measure and therefore cannot confirm the theoretical principle guided by PKM.

Moreover, when LBIS user actions or accumulated location information data is accessed at a large scale rather than an individual user level, the existing research should be limited to supporting rigorous theoretical frameworks or empirical evidence that can help formulate relevant hypotheses. For instance, findings from the research about tie strength undergirded by PKM are informative to micro-level analysis research; however, these lack empirical support for macro-level analysis research to demonstrate the large impacts of LBIS action as a type of user contribution and predict its large-scale influence on advertising outcomes. For instance, the weak ties are more attributed to information dissemination than strong ties, while strong ties exerted greater influence on persuasiveness of information at an individual level than weak ties.¹¹⁶ Considering one of the core functions of social media—social influence¹¹⁷—information dissemination as a result of aggregated and contagious LBIS actions in social media must not be simply dismissed.

How Did Businesses Deploy LBIS in Their Practices?

Starting from the early 2010s, businesses have paid attention to the potential of location check-ins for advertising.¹¹⁸ During the early years before Facebook Places became readily available to mobile phone users, businesses attracted customers to join their “location check-ins campaigns” by offering incentives in various forms (e.g., membership points, prizes) to those who shared their location information along with activities and the brands they were using at the moment in the place they visited.¹¹⁹ For instance, the Starwood Preferred Guest (SGP)—a membership program for customers of the affiliated hotels and resorts, including Sheraton and Westin—has been using an LBIS-based campaign since 2011.¹²⁰ Foursquare and Facebook users can earn membership points, in addition to a chance to win a free night to stay at one of the hotels or other hotel packages, by simply checking in at a hotel when they visit.

From the *sharers'* perspective, this simple action of LBIS could satisfy the motivations for broadcasting where they are, what they are doing,¹²¹ and how they feel about the place they visit¹²² simultaneously. Those who are willing to participate in this check-ins campaign run by the SPG might have occasionally or frequently shared location information via Facebook or Foursquare's Swarm application;¹²³ hence, they will find checking-in at a hotel location to be an easy opportunity to win the available incentives. On the other hand, those who have not shared location information via their mobile phone before would find this reward campaign program a challenge due to their concerns surrounding privacy entrenchment, even if they are holding their mobile phones and checking their Facebook feeds all of the time.¹²⁴ To promote the campaign to a wide range of potential participants, the campaign itself needs a mobile interface design that alleviates privacy concerns among nonusers of LBIS in addition to emphasis on the secured feature of simple check-ins when the campaign is introduced to those privacy-sensitive customers. From the *sharees'* perspective, which is rather straightforward compared to the sharers', the exposure to their Facebook friends' positive responses through LBIS could increase their own positive evaluations of the locations.¹²⁵ Furthermore, the observation of what their friends do on social media may allay their online privacy concerns associated with location check-ins, which could inspire them to engage in LBIS behavior.¹²⁶

Summary

In closing, it seems apparent that research in LBIS, or even the use of similar mobile communication technology, still needs further examination

regarding the chief variables and related inquiries summarized in the previous sections. First, research still needs to elaborate on the niche areas of privacy concerns evoked by LBIS/LBS. When privacy involves sensitive personal information, such as political or sexual orientations, LBS could be questioned for its online security and safety. In such cases, LBS users would be willing to search for safe-guarded LBS venues whose developers recognize the necessity of protection for a single user from group-shared data. However, the real-world adoption of such measures by LBS developers to cater to users' need for privacy is still incomplete.¹²⁷ For instance, Yu, Zimmermann, and Tang proposed methods to test LBS application systems that can improve location awareness for user check-ins based on accuracy of context detection.¹²⁸ This research might offer researchers and practitioners a part of the entire picture of what LBS means to users.

In a similar vein of technological approach, personalized advertising based on locations could raise concern for potential invasion of personal boundaries for LBS users in SNS. The negative effects of tailoring advertisements to mobile users primarily stem from individual users' feelings of insecurity in the online environment. Although the existing body of literature found little influence of privacy concerns on users' mobile communication and use of location-based services, including location checking-in, it did not ensure that the industry could rely on location-based advertising as a best practice. Users of mobile devices perceive intrusion of private sectors as a potential threat not only to their security, but also to their independence in the decision-making process.¹²⁹

It also must be noted that a body of the existing literature has investigated the effects of LBIS- or LBS-based advertising with SNS users outside the United States.¹³⁰ Because of this, the potential influences of individual traits reported in the previous literature¹³¹ might not be necessarily applicable to LBIS- and LBS-based advertising practiced in an American context. For instance, a survey of 292 social media site users in China revealed that the strong peer influence on persuasiveness in advertising was only true of those who did not express their own personality and personal preferences despite variations of the tie strength between SNS users. Those who perceived themselves to be distinct from others were not subject to such influences from socialization with peers concerning product purchase decisions.¹³² The findings of a similar study might appear in a unique pattern in the American context because of possibility of the ceiling or floor effect of the strong desire for self-presentation among American SNS users¹³³ on the cognitive evaluations of persuasion content found in their Facebook feeds, including location information shared by their friends.

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Chapter 7

Real-Time Marketing: The Agility to Leverage "Now"¹

Rebecca Lieb

In 2013 eMarketer announced that “the age of real-time marketing is nigh.”² And, indeed, it was. Eighty-three percent of marketers surveyed said they planned to begin to use, or to increase their use of real-time data in marketing campaigns in 2013.³ Although a book called *Real-Time Marketing and PR*⁴ was already among the *Wall Street Journal* and *USA Today* best sellers, it took a tweet in 2013 to focus the nation’s attention on real-time marketing. When the power went out for a half hour in the middle of Super Bowl XLVII at New Orleans’s Superdome, the viewers and commentators were left to their own devices until Oreo’s now-famous tweet: “Power out? No problem. You can still dunk in the dark.”⁵ Witty and timely, the tweet captured the moment and changed both advertising and consumer expectations.

The agency that created the tweet, 360i, reported that the “dunk in the dark” image was shared on Twitter and Facebook more than 20,000 times and received 525 million earned media impressions, which is five times the number of people who tuned in to watch the game.⁶ The tweet wasn’t a spur of the moment inspiration by one Oreo staffer. Rather, it was orchestrated by the “Super Bowl command center” team that included Oreo brand executives at 360i’s New York headquarters who quickly concepted, designed, and published the tweet.⁷

Wired magazine declared the Oreo tweet the Super Bowl winner, and *Adweek* ranked it as one of the night’s top five ads. Never before had a tweet been considered worthy among the many Super Bowl broadcast ads. Fourteen advertising awards followed, ranging from Cannes Lions awards to